ROYAL LONDON
SHORT DURATION GLOBAL HIGH YIELD BOND FUND

31.05.23

FUND OVERVIEW

FE fundinfo Crown Fund Rating

Fund Manager(s)	Azhar Hussain, Stephen Tapley
Fund Size	£1,127.17m
Fund Type	ICVC
Domicile	Ireland
ISA	Eligible
Duration to worst	2.2 years
Benchmark Index	Bank Of England Sterling Overnight Index Average
Investment Association Sector	IA Sterling High Yield
Currency	GBP
Initial Charge	0.0%
Fund Management Fee (FMF):	M Inc: 0.59% A Inc: 0.99% Z Inc: 0.48% M Acc: 0.59% Z Acc: 0.48%

Share Class M (Income)

Unit Launch Date	09.04.13
Minimum Investment	£100,000
SEDOL	B9BQGL2
Mid Price	£0.74
Distribution Yield	4.46%

Share Class A (Income)

Unit Launch Date	09.04.13
Minimum Investment	£1,000
SEDOL	B991KN9
Mid Price	£0.74
Distribution Yield	4.06%

Share Class Z (Income)

Unit Launch Date	15.02.13
Minimum Investment	£1,000,000
SEDOL	B979BF4
Mid Price	£0.75
Distribution Yield	4.57%

Share Class M (Accumulation)

Unit Launch Date	19.01.17
Minimum Investment	£100,000
SEDOL	BD0NHK8
Mid Price	£1.10
Distribution Yield	4.46%

Share Class Z (Accumulation)

Unit Launch Date	20.12.16
Minimum Investment	£1,000,000
SEDOL	BD0ND11
Mid Price	£1.11
Distribution Yield	4.57%

Overview

The investment objective of the Fund is to provide income, the Fund will seek to achieve its objective on an active basis. The Fund seeks to achieve its investment objective by outperforming its benchmark, SONIA (the "Benchmark") by 2% per annum over rolling three year periods. The Benchmark is being used by the Fund for performance comparison purposes only and the Fund does not intend to track the Benchmark. While the Fund may invest in investments which are constituents of the Benchmark, the Fund will be actively managed and its portfolio will not be constrained by reference to any index, and the Investment Manager may use its discretion to invest in instruments which are not included in the Benchmark.

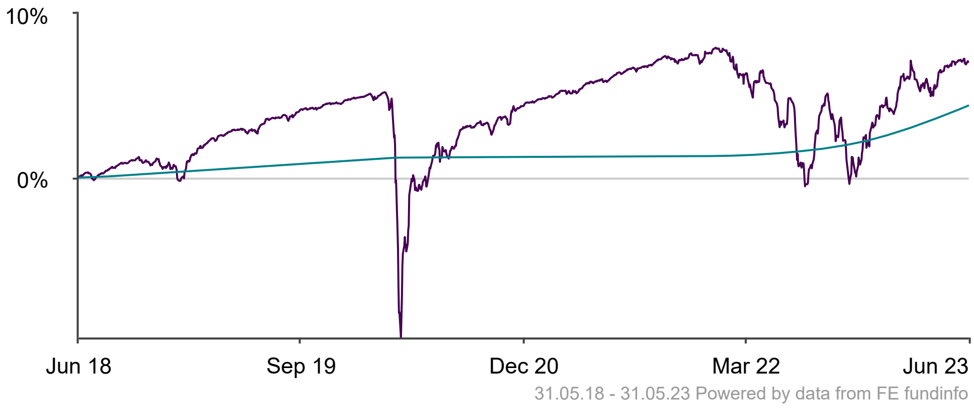
Year-on-year performance

	31.03.22 to 31.03.23	31.03.21 to 31.03.22	31.03.20 to 31.03.21	31.03.19 to 31.03.20	31.03.18 to 31.03.19
Share Class M (Income)	-0.1%	0.9%	9.5%	-6.1%	3.0%
Share Class A (Income)	-0.5%	0.5%	9.0%	-6.5%	2.6%
Share Class Z (Income)	0.0%	1.0%	9.6%	-6.0%	3.1%
Share Class M (Accumulation)	-0.1%	1.0%	9.5%	-6.1%	3.0%
Share Class Z (Accumulation)	0.0%	1.1%	9.6%	-6.0%	3.1%

Cumulative Performance (as at 31.05.23)

	3 Months	6 Months	1 Year	3 Years	5 Years
Share Class M (Income)	1.3%	3.1%	2.1%	5.7%	7.1%
Share Class A (Income)	1.2%	2.9%	1.7%	4.4%	4.9%
Share Class Z (Income)	1.3%	3.2%	2.2%	6.0%	7.6%
Share Class M (Accumulation)	1.3%	3.1%	2.1%	5.7%	7.1%
Share Class Z (Accumulation)	1.3%	3.2%	2.2%	6.0%	7.6%
Bank Of England Sterling Overnight Index Average	1.0%	1.9%	2.8%	3.1%	4.4%

Performance Chart



Fund   Bank Of England Sterling Overnight Index Average

Past performance is not a guide to future performance. The value of investments and the income from them is not guaranteed and may go down as well as up and investors may not get back the amount originally invested.

Source: RLAM and FE fundinfo as at 31.05.23. Fund performance is shown on a mid to mid price basis, net of fees and gross of taxes, with gross income reinvested unless otherwise stated. Benchmark performance is shown gross of fees and taxes.

Distribution History (Net)

	28/02/2023	31/08/2022
Share Class M (Income)	1.8471p	1.8847p
Share Class A (Income)	1.6968p	1.7280p
Share Class Z (Income)	1.9072p	1.9486p

Table above shows figures as at payment date.

Fund Manager(s)

Azhar Hussain
Co-manager
Fund Manager tenure:
15.02.13

Stephen Tapley
Co-manager
Fund Manager tenure:
15.02.13

Yield Definitions

The distribution yield reflects the amounts that may be expected to be distributed over the next 12 months. The underlying yield reflects the annualised income net of expenses of the Fund as a percentage (calculated in accordance with the relevant accounting standards). Both these yields are calculated as a percentage of the mid-price of the Fund as at the date shown and are month end snap shots of the portfolio on that day and do not include any preliminary charges. Investors may be subject to tax on distributions. Reported yields reflect RLAM's current perception of market conventions around timing of bond cash flows.

Unrated Bonds

Unrated bonds are not rated by a credit rating agency. RLAM ascribes internal ratings for these bonds which will vary for each asset.

Important Information

This is a financial promotion and is not investment advice.

The Fund is a sub-fund of Royal London Asset Management Funds plc, an open-ended investment company with variable capital (ICVC), with segregated liability between sub-funds. Incorporated with limited liability under the laws of Ireland and authorised by the Central Bank of Ireland as a UCITS Fund. It is a recognised scheme under the Financial Services and Markets Act 2000. The Management Company is FundRock Management Company SA, Registered office: 33 rue de Gasperich, L – 5826 Hesperange, Luxembourg and is authorised and regulated by the Commission de Surveillance du Secteur Financier (CSSF). The Investment Manager is Royal London Asset Management Limited. For more information on the Fund or the risks of investing, please refer to the Prospectus or Key Investor Information Document (KIID), available via the relevant Fund Information page on www.rlam.com. Most of the protections provided by the UK regulatory system, and the compensation under the Financial Services Compensation Scheme, will not be available.

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Please note that the impact of Futures is not considered as part of the overall fund Duration calculation; Fund level Duration is based on long only physical assets (incl cash).

Source: RLAM, FE fundinfo and HSBC as at 31.05.23, unless otherwise stated. Yield definitions are shown above.

Our ref: FS RLAM PD 0090

Breakdowns exclude cash and FX hedging.

More information on the sustainability factors for this fund can be found on our website at https://www.rlam.com/intermediaries/policies-and-regulatory/

Fund Commentary

Net of fees, the fund (M class) returned 0.65% in April, outperforming the 0.31% return for SONIA. Global high yield spreads (BB-B index) were slightly wider on the month at 435bps (+6bps), while the government yield curve decreased by 5bps, leading to a positive monthly return of 0.53%. The high yield market is now yielding 7.40%, FX-adjusted, (yield-to-worst*) with duration of 3.93 years. Index price returns were 0.1% while income returns were 0.5%. The fund's expected FX-adjusted yield decreased by 17bps to 6.94% with an expected duration of 1.55 years. All things being equal, an annual default rate of 11.6% (with 60% losses) would be required for an implied zero total return, at the current fund yield. This scenario is far in excess of both our own and market default expectations. It would equate to just under a quarter of the fund defaulting over the next two years. It is worth recalling that the fund has never had any credit losses from defaults since inception.
Decomposing the fund's assets: regionally the US assets outperformed. After this, European and R.O.W produced slightly less returns while the UK assets lagged on a relative basis. By rating, the fund's B rated assets produced stronger returns as compared with the BB rated. The small exposure to BBB & Above rated assets also produced positive returns. By sector the best were media, consumer goods and healthcare while the worst were retail and utility. Asset composition by region was broadly unchanged on the month.
The fund sold its Cablevision position during the month as the company was able to issue a new bond, and with it, earmarked its proceeds to take out our existing holding. No positions were lost to early redemptions during the month, due in part, to the lack of new issuance during the month of March. Compared to the limited number of new names purchased in March, a few new positions were bought in Gaming & Leisure Properties, Hess Midstream and Q-Park at the end of April. Aside from new positions, cash was also spent on adding to existing holdings as cash was put to use in the market. Overall, the cash level was 2.9% at end of the month.

This is not a recommendation or solicitation to buy or sell any particular security. The views and opinions expressed herein are those of the manager at the time and are subject to change without notice.

Credit Breakdown

	Fund	Index
BBB	6.2%	-
BB	49.3%	-
B	44.5%	-

Maturity Profile

	Fund	Index
0 - 3 months	3.4%	-
3 - 6 months	3.1%	-
6 - 9 months	1.3%	-
9 - 12 months	8.4%	-
12 - 18 months	24.9%	-
over 18 months	58.9%	-

Maturity classifications reflect market interpretation of redemptions.
Totals may not equal 100% due to rounding.

Top 10 Holdings as at 30.04.23

	Fund
Merlin Motion Finco Sarl 7% 15/05/2025	1.7%
Altice Financing Sa 2.25% 15/01/2025	1.6%
Iron Mountain UK Plc 3.875% 15/11/2025	1.6%
Dufry One Bv 2.5% 15/10/2024	1.6%
Uber Technologies Inc 7.5% 15/09/2027	1.6%
CHTR Cco Holdings Llc 5.125% 01/05/2027	1.6%
Virgin Media Secured Fin 5.0% 15/04/2027	1.6%
Sirius Xm Radio Inc 3.125% 01/09/2026	1.6%
Transdigm Inc 6.25% 15/03/2026	1.6%
Drax Finco Plc 6.625% 01/11/2025	1.6%
Total	**16.1%**
No of Holdings	**111**

CONTACT DETAILS

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Key Concepts to Understand

Bonds: Securities that represent an obligation to repay a debt, with interest. Investment grade bonds are high quality bonds that are viewed as being highly likely to make all scheduled payments of interest and principal. Low quality bonds carry higher risk but also typically pay higher rates of interest.
Derivative: A financial instrument whose price is dependent upon or derived from one or more underlying asset.
Efficient Portfolio Management: An investment technique that allows the use of derivatives for at least one of the following purposes: to increase the value of the Fund; to protect the value of the Fund or to reduce the risks of certain investments.

Fund Risks

Investment Risk: The value of investments and any income from them may go down as well as up and is not guaranteed. Investors may not get back the amount invested.
Credit Risk: Should the issuer of a fixed income security become unable to make income or capital payments, or their rating is downgraded, the value of that investment will fall. Fixed income securities that have a lower credit rating can pay a higher level of income and have an increased risk of default.
EPM Techniques: The Fund may engage in EPM techniques including holdings of derivative instruments. Whilst intended to reduce risk, the use of these instruments may expose the Fund to increased price volatility.
Exchange Rate Risk: Investing in assets denominated in a currency other than the base currency of the Fund means the value of the investment can be affected by changes in exchange rates.
Interest Rate Risk: Fixed interest securities are particularly affected by trends in interest rates and inflation. If interest rates go up, the value of capital may fall, and vice versa. Inflation will also decrease the real value of capital.
Liquidity Risk: In difficult market conditions the value of certain fund investments may be difficult to value and harder to sell, or sell at a fair price, resulting in unpredictable falls in the value of your holding.
Emerging Markets Risk: Investing in Emerging Markets may provide the potential for greater rewards but carries greater risk due to the possibility of high volatility, low liquidity, currency fluctuations, the adverse effect of social, political and economic instability, weak supervisory structures and accounting standards.
Counterparty Risk: The insolvency of any institutions providing services such as safekeeping of assets or acting as counterparty to derivatives or other instruments, may expose the Fund to financial loss.